

Industrial Policy Resolution, 1948



- It declared the Indian economy as Mixed Economy
- Small scale and cottage industries were given the importance
- The government restricted foreign investments
- Industries were divided into 4 categories
 - Exclusive monopoly of central government (arms and ammunitions, production of atomic energy and management of railways)
 - New undertaking undertaken only by state (coal, iron and steel, aircraft manufacturing, ship building, telegraph, telephone etc.)
 - Industries to be regulated by the government (Industries of basic importance)
 - Open to private enterprise, individuals and cooperatives (remaining)



Industrial Policy Resolution, 1956 (IPR 1956)



- This policy laid down the basic framework of Industrial Policy
- This policy is also known as the Economic Constitution of India



It is classified into three sectors

Schedule A
which covers
Public Sector
(17 Industries)

Schedule B
covering
Mixed Sector
(i.e. Public &
Private) (12
Industries)

Schedule C
only Private
Industries

This has provisions for Public Sector, Small Scale Industry, Foreign Investment.

Industrial Policy Statement, 1977



- This policy was an extension of the 1956 policy.
- The main was employment to the poor and reduction in the concentration of wealth.
- This policy majorly focused on Decentralisation
- It gave priority to small scale Industries
- It created a new unit called “Tiny Unit”
- This policy imposed restrictions on
- Multinational Companies (MNC).



Industrial Policy Statement, 1980



- The Industrial Policy Statement of 1980 addressed the need for promoting competition in the domestic market, modernization, selective Liberalization, and technological up-gradation.
- It liberalised licensing and provided for the automatic expansion of capacity.
- Due to this policy, the MRTP Act (Monopolies Restrictive Trade Practices) and FERA Act (Foreign Exchange Regulation Act, 1973) were introduced.
- The objective was to liberalize the industrial sector to increase industrial productivity and competitiveness of the industrial sector.
- The policy laid the foundation for an increasingly competitive export-based and for encouraging foreign investment in high-technology areas.



Features of New Industrial Policy 1991



- **De-reservation of Public sector:** Sectors that were earlier exclusively reserved for public sector were reduced. However, pre-eminent place of public sector in 5 core areas like arms and ammunition, atomic energy, mineral oils, rail transport and mining was continued.
 - **Presently, only two sectors- Atomic Energy and Railway operations-** are reserved exclusively for the public sector.
- **De-licensing:** Abolition of Industrial Licensing for all projects except for a short list of industries.
- **Disinvestment of Public Sector:** Government stakes in Public Sector Enterprises were reduced to enhance their efficiency and competitiveness.
- **Liberalisation of Foreign Investment:** This was the first Industrial policy in which foreign companies were allowed to have majority stake in India. In 47 high priority industries, upto 51% FDI was allowed. For export trading houses, FDI up to 74% was allowed.
 - Today, there are numerous sectors in the economy where government allows 100% FDI
- **Foreign Technology Agreement:** Automatic approvals for technology related agreements.
- **MRTP Act** was amended to remove the threshold limits of assets in respect of MRTP companies and dominant undertakings. MRTP Act was replaced by the Competition Act 2002.

BRANCHES OF NEW ECONOMIC POLICY



Liberalisation



Privatisation



Globalisation

THANKOO...

PARMAR SSC

